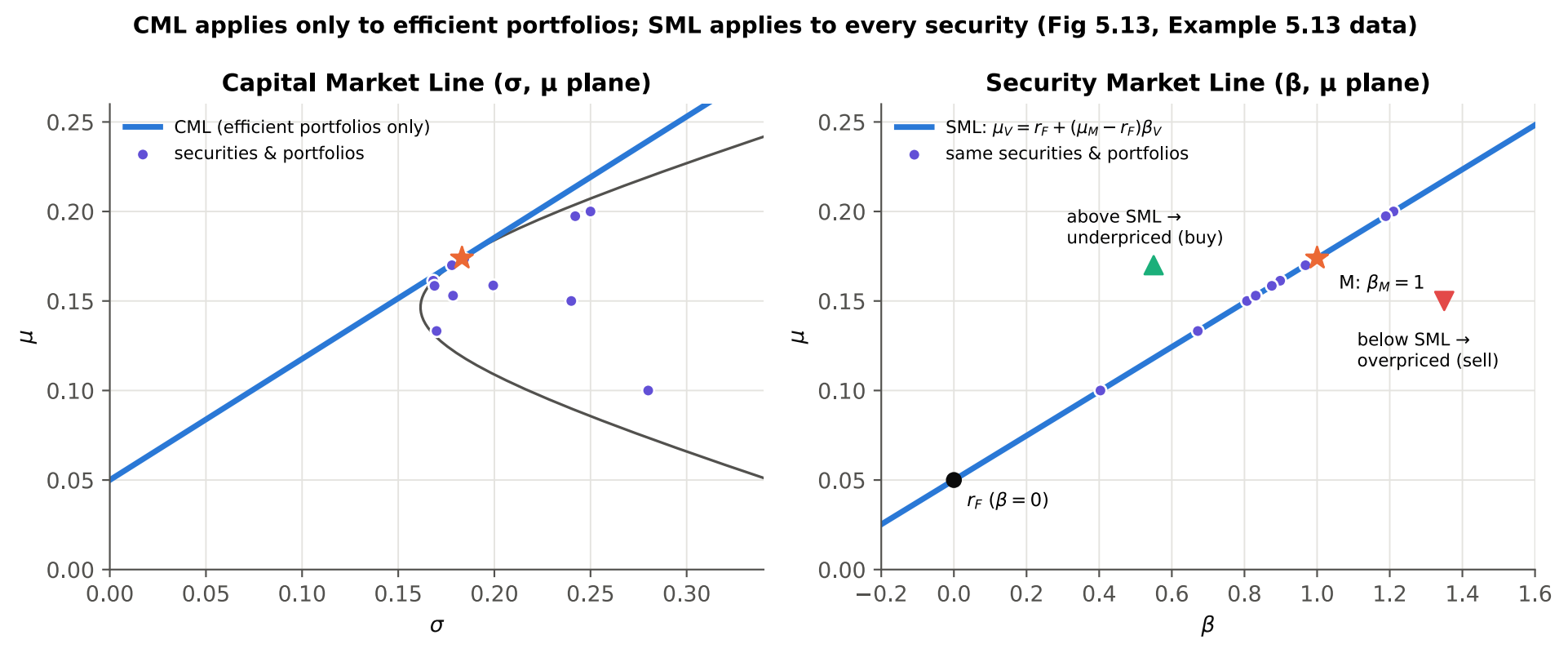

CML applies only to efficient portfolios; SML applies to every security (Fig 5.13, Example 5.13 data)
Capital Market Line (σ, μ plane)
CML (efficient portfolios only)
securities & portfolios
μ
σ
0.00
0.05
0.10
0.15
0.20
0.25
0.30
Security Market Line (β, μ plane)
SML: $\mu_V = r_F + (\mu_M - r_F)\beta_V$
same securities & portfolios
above SML → underpriced (buy)
M: $\beta_M = 1$
below SML → overpriced (sell)
r_F ($\beta = 0$)
β
−0.2
0.0
0.2
0.4
0.6
0.8
1.0
1.2
1.4
1.6